

Coca-Cola

JPM Exclusive CFO NDR Takeaways & 3Q24 Preview

We hosted The Coca-Cola Company (KO, Overweight rated) on a non-deal roadshow in select European cities with President and CFO John Murphy, SVP of IR Robin Halpern and IR Director Taylor Polivka. We came away confident that despite the deceleration in organic sales growth (OSG) ahead, we think KO can still deliver at the top of its long-term top-line algorithm (+4-6% OSG - half of which driven by volume in EM and the other half by value realization in DM). Despite the macro and political instability in many parts of the world, KO's "all-weather" strategy is supported by multi-year investments in focused and relevant/large consumer-centric innovation. As KO's portfolio of brands and its creative processes were centralized in WPP and Studio X, ROIC has been optimized over the years, which has become a virtuous cycle by unlocking resources that have been redeployed in digital capabilities and generative AI. Net-net, we think KO has evolved to finally become an earnings compounder with top-tier TSR among large-cap staples and a core holding for most investors. We elaborate more on the key topics discussed and we also took the opportunity to preview KO's 3Q24 earnings inside this note.

- Developed Markets Consumers (Especially in the U.S.) are More Choiceful, But KO has Capabilities to Drive Affordability (RGM) and Transactions.** As we have heard from virtually all management teams in our coverage, the U.S. consumer is now more choiceful with less money in pocket. As such, KO is deploying its revenue growth management (RGM) capabilities to offer price points both for single-serve in convenience & gas channel as well as multi-serve in larger stores. For example, for single-serve, the price of a 20oz bottle of Coke went from \$1.99 before in most outlets to \$2.25-\$2.69 currently. Also, management has been surgical about affordability and taking a holistic approach; for example, comparing product prices to the price of a bus ticket and how that impacts consumption. For at-home consumption by low-to-middle-income homes where meals compete with quick service restaurants (QSRs) or casual dining, management gave the example of working with retailers to merchandise a rotisserie chicken with an affordable 2L bottle, which would still represent a substantial savings compared to meals out-of-home.

Overweight

KO, KO US

Price (27 Sep 24):\$71.79

▲ **Price Target (Dec-25):\$78.00**

Prior (Dec-25):\$72.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur
Revenue - 24E (\$ mn)	46,247	46,230
Revenue - 25E (\$ mn)	48,064	48,217
Adj. EPS - 25E (\$)	2.98	2.99

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2023A	2024E	2025E
Q1	0.68	0.72A	0.76
Q2	0.78	0.84A	0.86
Q3	0.74	0.75	0.79
Q4	0.49	0.54	0.58
FY	2.69	2.85	2.99

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	85	78	80	85	89
Growth	84	70	20	13	32
Momentum	32	55	59	38	24
Quality	22	13	10	41	28
Low Vol	1	1	1	13	2
ESGQ	20	31	34	16	15

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 14 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	21.8%	0.4%	12.3%	28.3%
Rel	1.5%	-1.6%	7.7%	-5.9%

Company Data

Shares O/S (mn)	4,321
52-week range (\$)	73.53-51.55
Market cap (\$ mn)	310,204.60
Exchange rate	1.00
Free float(%)	81.3%
3M - Avg daily vol (mn)	13.56
3M - Avg daily val (\$ mn)	929.1
Volatility (90 Day)	13
Index	S&P 500
BBG BUY HOLD SELL	21 7 1

Key Metrics (FYE Dec)

\$ in millions	FY23A	FY24E	FY25E	FY26E
Financial Estimates				
Revenue	45,784	46,230	48,217	50,589
Adj. EBITDA	14,464	15,098	16,162	17,296
Adj. EBIT	13,336	13,977	14,896	15,887
Adj. net income	11,677	12,325	12,891	13,915
Adj. EPS	2.69	2.85	2.99	3.23
BBG EPS	2.68	2.85	3.04	3.25
Cashflow from operations	11,599	11,369	8,621	15,060
FCFF	9,747	9,183	6,338	12,664
Margins and Growth				
Revenue Growth Y/Y (%)	6.4%	1.0%	4.3%	4.9%
Total Organic Sales Growth (%)	-	-	-	-
Gross margin	59.7%	61.4%	61.8%	62.0%
EBITDA margin	31.6%	32.7%	33.5%	34.2%
EBITDA Growth Y/Y (%)	6.3%	4.4%	7.0%	7.0%
EBIT margin	29.1%	30.2%	30.9%	31.4%
Net margin	25.5%	26.7%	26.7%	27.5%
Adj. EPS growth	8.4%	6.0%	4.7%	8.1%
Ratios				
Net debt/EBITDA	2.1	2.2	2.2	1.9
ROIC	-	-	-	-
ROE	46.7%	48.3%	53.5%	55.6%
Valuation				
FCFF yield	3.1%	3.0%	2.0%	4.1%
Dividend yield	2.6%	2.7%	2.9%	3.0%
EV/Revenue	5.8	5.8	5.6	5.3
EV/EBITDA	18.3	17.8	16.8	15.6
Adj. P/E	26.7	25.2	24.0	22.2

Summary Investment Thesis and Valuation

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$78, based on 24x P/E (current premium to MNC peers applied to weighted average MNC peer CY25 multiples) on our 2026 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concern around GLP-1 and potential tax liability. Our \$78 price target implies ~9% upside in the next approximately 15 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Performance Drivers

Market	0%
Sector	61%
Macro	5%
Style	4%
Idiosyn.	30%

Factors	6M Corr	1Y Corr
Market: MSCI US	0.02	0.05
Sect: Cons Staples	0.69	0.78
Ind: Food Bev & Tobacco	0.78	0.84
Macro:		
Crude Oil	-0.30	-0.24
US 10yr yield	-0.06	-0.17
Non-Energy Commodity	-0.28	-0.06
Quant Styles:		
DivYld	0.45	0.40
Value	0.34	0.34
LowVol	0.44	0.32

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Focused Innovation and Investments in Big Franchises Leading to Durable Value Share Gains.** KO's volumes in North America have been around flat to -1% over the last 9 to 10 quarters while Developing and Emerging markets should continue to drive the +2-3% global volume objective as part of the +4% to +6% organic sales growth algorithm. Even in more mature markets like the U.S. (~20% of global volumes), KO's sparkling portfolio has been growing above category in particular Coke Zero Sugar and Sprite, both of which were among the seven big bets EVP and President of the North America Operating Unit Jennifer Mann had focused on for 2024. She believes there is still room for an increasing number of drinkers for these brands even in a developed market like the U.S. There is also a reformulation in Fanta in the works, which will likely continue to have positive impact into 2025. The other franchises that have been growing at a very fast clip are fairlife as consumers continue to gravitate toward high protein beverages and meal substitutes. The company continues to see plenty of runway for premium innovation and price/pack architecture to attract and retain consumers in brands as well as premiumize consumers into more value-added products and packages. The key developing markets management is focusing on are India and Africa, where the company has been focusing on the opportunity to convert consumers to commercial beverages.
- **Generative AI to Have a Meaningful Impact Longer Term and Continue to Enhance ROIs in Campaigns Globally.** Management discussed the last example with a new product with its marketing partner WPP Open X and Nvidia. Nvidia has announced a technology that enables high-quality AI images in less time, which will help KO sale global campaign and enhance human creativity. John said the new holiday campaign will deploy a more interactive interface and a good example of the possibilities AI has allowed KO and WPP to enhance the connection with the consumer.
- **Alcohol as Part of KO's Total Beverage Strategy and Opportunity to Tap into all 8-9 Daily Beverage Consumer Occasions.** KO believes its brand equity and network of ~200 worldwide bottlers extends the reach of partnerships with alcohol companies and gives the company permission to participate in all beverage category occasions and subcategories that solve consumer needs. Some of the ready-to-drink (RTD) alcoholic products that are designed to offer traditional drinks include Jack & Coke (partnership with N-rated BF/B), Rum & Coke (Bacardi), Fresca Mixed (partnership with OW-rated STZ), but also include FMBs like Simply Spiked and Topo Chico Hard Seltzer (both in partnership with N-rated TAP). To take the U.S. as example, despite the regulation that requires the three-tiered system for distribution of alcohol, if RTDs takes about 10% of the beer market and KO could take 20% share of that 10% in the next decade or so, it could represent a meaningful contribution (albeit long-term). To note, management had elected to experiment with alcohol dating back to 2018 in its most developed country from a portfolio standpoint (Japan) where KO launched Lemon-Dou, its first RTD alcohol beverage. Lemon-Dou was an experiment in Japan's fast-growing Chu-Hai drinks category and was also KO's first entry in the alcohol beverage market since the late 1970s, when Coca Cola owned a winemaker in California. Despite the increased number of launches recently, management said that they are not looking for a new hobby but rather to be able to grow number of transactions and brand equity.
- **GLP-1 Leaning into "Better for You" Zero or No Calorie (~30% of volumes) and Protein (fairlife).** Management said that they have not seen any major impact to consumption at this point as GLP-1 drugs use are not as widespread. That said, the company believes its portfolio offers enough alternatives (water, zero or reduced sugar, juices, and protein drinks with fairlife) that will actually benefit from

consumers becoming more conscious about their calorie intake. The reduced portions are also a trend that KO has leaned in to for a long time and is beneficial to the company overall (more transactions as single serve options outpace multipack) and are more profitable for KO and the bottling system (higher price per ounce).

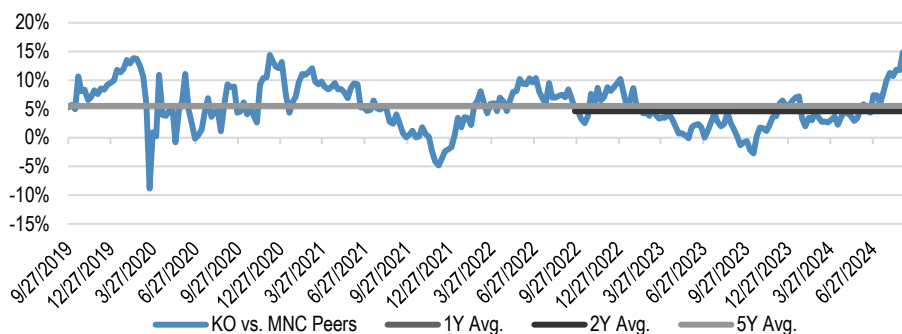
- **Cost Inflation in Certain Commodities Should Not Limit Margin Expansion.** To some questions about commodities and FX, management said that despite the pressure in orange juice, coffee and some other raw materials, the company has been able to neutralize with capabilities including leveraging the scale of its cross enterprise procurement group or CEPG that takes advantage of large volumes of purchases across not only all Coca-Cola demand across the globe as well as its ~200 network bottlers to get the best price possible. KO also hedges the most relevant currencies to smoothen the impact of FX volatility.
- **Cash Flow Pressures Are Large (IRS, fairlife Payment) But Transitory.** John Murphy got questions on the IRS payment and reconfirmed that the escrow deposit (~\$6bn) will likely happen in the next month or so (following the 90 day schedule) to which KO has already issued financing for. Also, the \$5.3bn payment for fairlife is scheduled for Q125. Post these payments, KO will likely be able to follow a more normalized cash flow conversion and will be able to continue to prioritize its capital allocation into invest in the business, return cash to shareholders in the form of growing dividends and potentially buyback shares once these cash flow pressures are behind.
- **Setup into 3Q24 Earnings - Deceleration is Well Telegraphed, Earnings Will Likely Be Solid Nevertheless and Lead to an Easy Comp into 4Q24 Given Two Extra Days.** KO is scheduled to report 3Q24 earnings results on Wednesday, October 23, before the market open. We adjusted a few of our underlying estimates resulting in our 3Q24 EPS moving down a penny to \$0.75 (in-line with Bloomberg consensus) and our 2024 EPS of \$2.85 unchanged (also in-line with Bloomberg consensus). We lowered our 3Q24 OSG estimate to +5.1% on a concentrate shipment basis (from +6.0% before) on incrementally more challenging trends in some International markets (lowered unit case volumes -160 bps), partially offset by lifting price/mix 90 bps, and our 2024 OSG estimate using concentrate shipments moves to 10.0% (from +10.3% before). The current Consensus Metrix consensus calls for 3Q24/2024 OSG of +7.1%/+10.2% (although components of 3Q24 sum to +6.5%). Given uncertainty around the upcoming elections and puts and takes around the world, we would not expect a further guidance raise from +9-10% OSG and +5-6% EPS growth.
- **Continue to See Upside in Shares Even After Outperformance vs. Peers.** KO has been a top performer among large cap Beverages and HPC YTD with shares +21.8% vs. multinational (MNC) peers +7.5% and staples XLP +15.3% (helped by WMT +51.8% YTD and COST +34.2% YTD). Despite outperformance vs. peers (and recent catch-up to SPX - YTD +20.3%), relative valuation vs. SPX remains well below historical averages (KO now 11% premium to SPX on NTM P/E vs. 2- and 5-year historical average ~20%). As investor interest in Staples increases (bond proxy, defensive), we believe investors have been and will continue to gravitate toward KO (relative to other large cap MNC staples) given better fundamentals (i.e., ongoing and outlook for solid volume growth with continued pricing power) and weakening USD (U.S. only ~20% of unit case volume). With that, shares should be able to sustain relative valuation premium to peers until there is an improvement in underlying consumption trends or higher branded share gains in peer categories. We remain Overweight and lift our December 2025 target price to \$78 (from \$72) based

on 24x P/E off our 2026E EPS of \$3.23, representing 9% upside from current levels plus a ~3% dividend yield.

- 3Q24 Expectations.** We are forecasting 3Q24 EPS of \$0.75 (from \$0.76 before), which is in-line with the current Bloomberg consensus estimate. Our OSG estimate (concentrate shipment basis) of +5.1% compares to Consensus Metrix +7.1% (we note sum of CM volume and price/mix = +6.5%) with JPMe modeling for concentrate shipments -1.7% vs. CM -0.8% and price/mix +6.9% vs. CM +7.3%. We model for unit case volumes +0.6% vs. CM +1.0%. We lowered our OSG estimate (concentrate shipment basis) from +6.0% before as we lowered our unit case volume estimate -160 bps on expectation for softer EMEA and APAC as company called out tougher start to 2H24 in some of these markets, particularly China and Eurasia and raised our price/mix estimate by +90 bps on higher EMEA price/mix. We are 19 bps ahead of the Street on margins (EBIT margins JPMe 30.8% vs. consensus 30.6%) with our gross margins ahead 70 bps (JPMe 62.1% vs. consensus 61.4%) and our operating expenses 51 bps heavier (JPMe 31.3% vs. consensus 30.8%).

Figure 1: KO at +14% Premium to Multinational Peers, Highest Since Late 2020

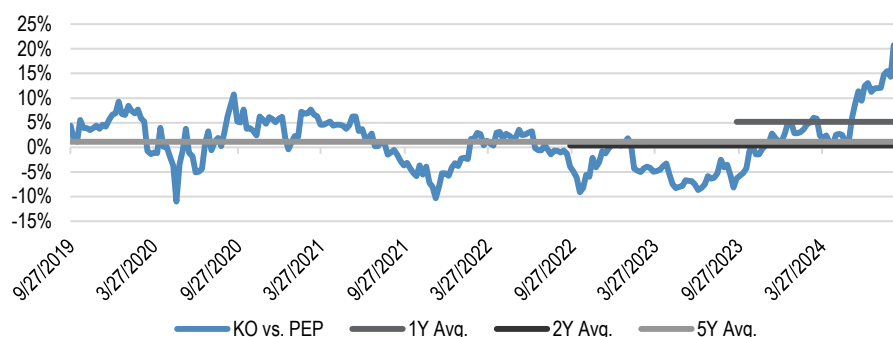
KO NTM P/E Relative Premium/Discount vs. Large Cap Multinational Peers (PEP, CL, PG, KVUE, KMB, HSY, MDLZ, K, ULVR, NESN)



Source: Bloomberg Finance L.P.

Figure 2: KO Now at +20% Premium to PEP on NTM P/E, Highest in at least 20+ Years

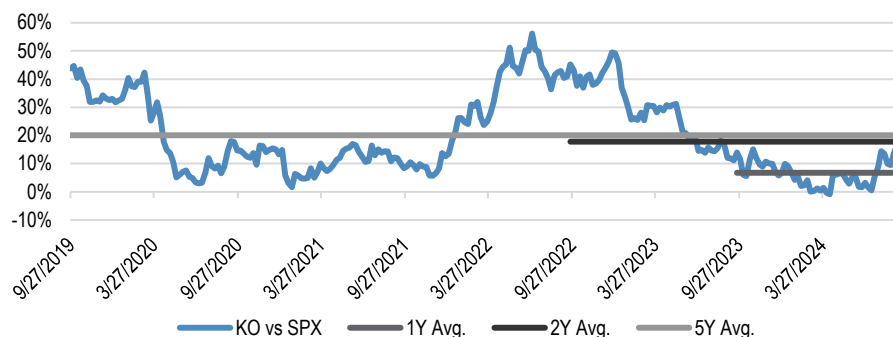
KO NTM P/E Relative Premium/Discount vs. PEP



Source: Bloomberg Finance L.P.

Figure 3: Yet Despite Outperformance vs. Peers, KO Shares at 11% Premium to SPX - Still Well Below Historical Average Relative Valuation Premium of +20%

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

3Q24 Earnings Outlook

Date: Wednesday, October 23

Estimated Release Time: 6:55 AM ET

Conference Call Details:

Time: 8:30 AM ET

Dial-in: +1-888-415-4465 Pin: COKE IR

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 3Q24 earnings results on Wednesday, October 23, before the market open. We adjusted a few of our underlying estimates with our 3Q24 EPS estimate moving to \$0.75 (from \$0.76) versus the current Bloomberg consensus of \$0.75 and our 2024 EPS estimate unchanged at \$2.85 versus the current Bloomberg consensus of \$2.85.

We Are Slightly Ahead of Consensus for 3Q24 on Top-Line and In-Line on EPS

On the top-line, our -2.1% estimate (including +5.1% organic on concentrate shipment basis, -4.0% FX, and -4.7% M&A) is 80 bps ahead of consensus -2.9% (including +7.1% organic, -4.6% FX, and -4.3% M&A). We note that Consensus Metrix components of OSG sum to +6.5% vs. overall aforementioned +7.1% compiled consensus. We are below consensus on both volumes and price/mix, which we detail later. We are slightly (19 bps) ahead of consensus on margins (JPMe 30.8% vs. Street 30.6%) as we are ahead on gross margin (JPMe 62.1% vs. Street 61.4%) but higher on SG&A (JPMe 31.3% vs. Street 30.8%).

Our gross margin forecast of 62.1% embeds +160 bps expansion YOY, which is a moderation sequentially from +204 bps YOY in 2Q24, but an improvement sequentially on an absolute basis from 61.4% in 2Q24. We note the building blocks from 2Q24 - underlying margin expansion was around +130 bps, FX -80 bps, and bottler refranchising +160 bps. Looking to 3Q24, we expect ongoing benefit from underlying margin expansion (pricing, segment mix, partially offset by inflation) and bottler refranchising but a partial reversal on concentrate shipment timing benefit from 2Q (we estimate was 30-40 bps benefit) and ongoing headwind from FX. On the operating

expense side, our SG&A forecast of 31.3% is 54 bps unfavorable YOY. We expect continued deleverage on advertising spend growing ahead of reported top-line (albeit lower level than 1H24 given easier comparisons to 2H23), although this is partially offset by bottler costs coming out of the base from refranchising (i.e., reduced people costs but little impact to advertising).

All in, our 3Q24 EPS estimate of \$0.75 is in-line with the current Bloomberg consensus estimate.

Table 1: JPMe 3Q24E and 2024E vs. Bloomberg Consensus

\$ m, except per share values

	3Q24E		Y/Y	JPMe	2024E		Y/Y	JPMe
Income Statement	JPMe	Consensus	%	vs. cons	JPMe	Consensus	%	vs. cons
Net Sales	11,660.0	11,618.6	-2.1%	0.4%	46,230.2	46,000.9	1.0%	0.5%
Gross Profit	7,238.7	7,132.2	0.5%	1.5%	28,404.5	28,018.7	4.0%	1.4%
Operating Income	3,585.7	3,551.2	1.4%	1.0%	13,977.2	13,896.3	4.8%	0.6%
Interest, Net	137.4				596.0			
Net Income	3,259.4	3,224.8	1.7%	1.1%	12,324.5	12,329.5	5.5%	0.0%
Shares Outstanding	4,319.0		-0.5%		4,319.8		-0.4%	
EPS	\$0.75	\$0.75	2.2%	0.9%	\$2.85	\$2.85	6.0%	0.0%
	3Q24E		bps	JPMe	2024E		Y/Y	JPMe
Growth/Margins	JPMe	Consensus	bps	vs. cons	JPMe	Consensus	bps	vs. cons
Sales Growth	-2.1%	-2.9%	(993)	80	1.0%	0.5%	(539)	50
Gross Margin	62.1%	61.4%	160	70	61.4%	60.9%	177	53
SG&A Margin	31.3%	30.8%	54	51	31.2%	30.7%	67	51
Operating Profit Margin	30.8%	30.6%	106	19	30.2%	30.2%	111	3
Tax Rate	19.0%				19.0%			

Source: Bloomberg Finance L.P., and J.P. Morgan estimates.

Organic Revenue Growth

- **Organic Sales:** Overall comparisons are flat sequentially, yet still tough, in 3Q from an organic growth perspective on a YOY basis but are more challenging on a 4Y CAGR basis (lapping +11% YOY OSG and +8.1% 4Y CAGR vs. in 2Q24 lapped +11% YOY OSG and +6.9% 4Y CAGR). We see some puts and takes to the OSG outlook, but lowered our unit case volume expectations for 3Q24 on incrementally softer consumer environment in 3Q24 largely impacting international markets. On the positive side, we expect ongoing strength in India, U.S. trends have held up well with improving CSD performance and strong finished goods (e.g., fairlife), and company should continue to see strong price/mix benefits (underlying pricing, lingering impact from intense inflation). On the less positive side, management spoke to softer trends in some markets in 3Q24 (some markets in Europe, Eurasia, China), conflict in the Middle East continue to impact performance, comparisons become tougher in LatAm, and overall away-from-home likely remains pressured.
- **Price/Mix:** For 3Q24, we are expecting price/mix to decelerate sequentially to +6.9% from +9% in 2Q24. At a high level, the 5 points of underlying pricing benefit from 2Q24 (mix was largely neutral) should be sticky and continue to benefit remainder of the year, and while intense inflation abates by 4Q, we believe there is still likely some impact in 3Q24; moreover, we wouldn't be surprised to see some potential mix benefit if finished goods in the U.S. continues to perform well (e.g., fairlife, juices) and away-from-home sees some improvement as QSR trends see

some improvement from focus on value as KO has higher market share in this channel. Our +6.9% price/mix estimate a bit below the current CM consensus of +7.3%.

- **Volumes:** For 3Q24, we are expecting unit case volume to decelerate sequentially to +0.6% from +2% in 2Q24. Comparisons get tougher sequentially YOY and on a multi-year basis (lapping +2% unit case volume from 3Q23 vs. lapped flat unit case volumes from 2Q23 and on 4Y CAGR lapping +1.9% unit case volume from 3Q23 vs. +1.7% from 2Q23) and management has spoken to a tougher start to 2H24 in some markets, including China and Eurasia and potential deceleration vs. prior expectations in LatAm.
- **All in, we are forecasting 3Q24 OSG (based on consumption or units) of +7.4% (unit case volume +0.6%, price/mix +6.9%) versus the apples-to-apples CM forecast of +8.3% (unit case volume +1.0%, price/mix +7.3%).** We are modeling for a 230 bps delta between unit case volume and concentrate shipments, which compares to CM 180 bps delta between unit case volume and concentrate shipments. Therefore, **on a concentrate shipment basis we forecast 3Q24 OSG of +5.1% (concentrate shipments -1.7%, price/mix +6.9%) vs. CM +7.1% (concentrate shipments -0.8%, price/mix +7.3%), although we note the sum of the CM components implies OSG +6.5%.**
- **On a regional basis,** our OSG forecasts are as follows: +13% in EMEA (unit case volume -2%, price/mix +15%), +10% in Latin America (unit case volume +2%, price/mix +8%), +5.5% in North America (unit case volume -0.5%, price/mix +6%), +2% in Asia Pacific (unit case volume +2%, price/mix 0%), +3% in Global Ventures (unit case volume +4%, price/mix -1%), and +10% in BIG (unit case volume +4%, price/mix +6%).
- The regional breakdown of our organic revenue growth estimates vs. consensus (measured by Consensus Metrix) is below.

Table 2: 3Q24E JPM Organic Revenue Estimates vs. Consensus

Revenue Build	3Q24E		JPMe
	JPMe	Consensus	vs. cons (bps)
Organic Revenue	7.4%	7.1%	34
EMEA	13.0%	13.2%	(20)
Latin America	10.0%	15.4%	(540)
North America	5.5%	4.1%	140
Asia-Pacific	2.0%	3.2%	(120)
Global Ventures	3.0%	1.6%	140
BIG	10.0%	4.8%	520
Unit Case Volume	0.6%	1.0%	(44)
EMEA	-2.0%	0.8%	(280)
Latin America	2.0%	2.8%	(80)
North America	-0.5%	-0.6%	10
Asia-Pacific	2.0%	2.5%	(50)
Global Ventures	4.0%	2.3%	170
BIG	4.0%	-1.4%	540
Concentrate Sales	-1.7%	-0.8%	(93)
EMEA	-4.0%	-1.5%	(250)
Latin America	1.0%	0.4%	60
North America	-0.5%	-0.7%	20
Asia-Pacific	0.0%	-0.2%	20
Global Ventures	4.0%	2.1%	190
BIG	-6.0%	0.4%	(640)
Price/Mix	6.9%	7.3%	(42)
EMEA	15.0%	13.3%	170
Latin America	8.0%	13.7%	(570)
North America	6.0%	5.0%	100
Asia-Pacific	0.0%	2.4%	(240)
Global Ventures	-1.0%	-0.6%	(40)
BIG	6.0%	4.2%	180
FX	-4.0%	-4.6%	60
M&A/Other	-4.7%	-4.3%	(38)

Source: Consensus Metrix and J.P. Morgan estimates.

US Tracked Channel Trends ~+4% in QTD 3Q24; Largely Flat Sequentially YOY as Unit Moderation Offset by Accelerating Price/Mix

Within the tracked channels during L10W 9/7/24 (quarter to date), KO's overall dollar takeaway trends were largely flat sequentially as an improvement in price/mix per unit was slightly more than offset by softer unit trends. Trends on a 2Y CAGR basis decelerated sequentially but were at the high-end of +MSD% range. All-in, dollar sales growth of +4.3% L10W 9/7/24 compares to +4.6% L13W 6/29/24 (slight -30 bps deceleration) with unit sales decline worsening to -2.1% L10W 9/7/24 from -0.8% L13W 6/29/24 while price/mix per unit grew +6.5% L10W 9/7/24 from +5.4% L13W 6/29/24. Promotional levels were largely flat YOY in L10W 9/7/24 based on promotional intensity (breadth times depth), which was largely in-line with roughly flat promotional intensity YOY in L13W 6/29/24. Within that, % of sales on promo increased about 110 bps YOY in L10W 9/7/24 (vs. a 130 bps increase YOY L13W 6/29/24) while average promotional discount narrowed by 30 bps in L10W 9/7/24 (vs. 40 bps compression YOY in L13W 6/29/24).

2-Year CAGR Decelerated Sequentially but Still Solid at High-End of +MSD% in U.S. NIQ

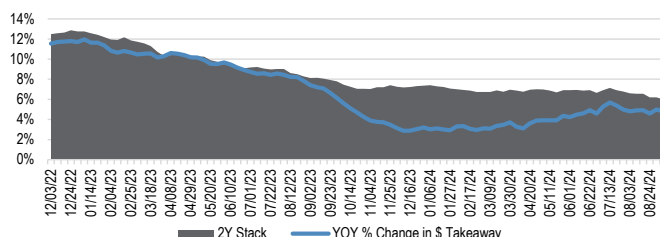
On a 2Y CAGR basis, KO's dollar takeaway L10W 9/7/24 decelerated -80 bps to +5.8% from +6.6% L13W 6/29/24 as unit sales CAGR of -2.0% L10W 9/7/24 improved 60 bps sequentially from -2.6% L13W 6/29/24 while price/mix per unit CAGR of +8.0% L10W 9/7/24 moderated from +9.5% L13W 6/29/24. 3Y and 4Y CAGR trends are a bit less relevant now, in our view, but we note that on 3Y CAGR KO dollar sales of +6.9% L10W 9/7/24 decelerated -70 bps from +7.6% L13W 6/29/24 and on 4Y CAGR KO dollar sales +7.4% were flat from +7.4% L13W 6/29/24.

CSD Trends Accelerate Sequentially to Over +5% As Volumes Inflex Positive While Price/Mix Moderates; KO Performing Better Than the Category

In CSDs, tracked channel trends for KO improved sequentially in L10W 9/7/24 at +5.2% (vs. category ex-KO +4.2%) from +4.3% L13W 6/29/24 (vs. category ex-KO +4.4%). Within KO's +5.2% dollar sales growth L10W 9/7/24, volume sales accelerated to +0.6% from -0.7% L13W 6/29/24 while price/mix decelerated to +4.6% from +5.1% L13W 6/29/24. KO's outperformance vs. the category of roughly +100 bps L10W 9/7/24 improved vs. -10 bps underperformance in L13W 6/29/24 and the company's value share in CSDs in L10W 9/7/24 was up roughly +23 bps YOY vs. -2 bps YOY in L13W 6/29/24.

Figure 4: KO Trends +4.3% in QTD 3Q, Largely Flat Sequentially

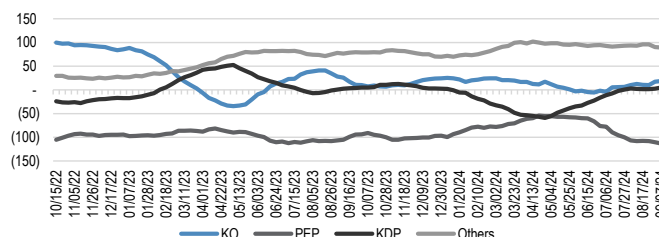
YOY % Change in \$ Takeaway (13-Weeks) vs. 2-Year Stack



Source: NielsenIQ.

Figure 5: KO CSD Market Share QTD 3Q +23 Bps, Improved Sequentially

\$ Market Share YOY (13-Weeks)



Source: NielsenIQ.

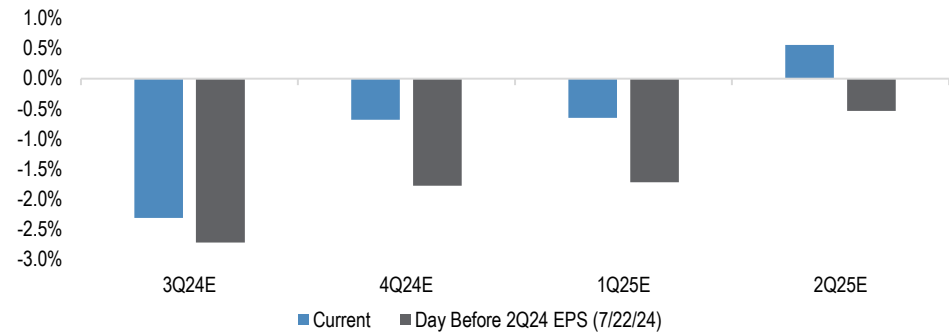
Updated FX Outlook

With the company's 2Q24 earnings results on July 23rd, management updated its currency outlook for 2024 to a -5% to -6% headwind to the top-line (had been -4% to -5% prior) and -8% to -9% to the bottom-line (from -7% to -8% previously), with the company citing that the "majority of currency headwinds are due to currency devaluation resulting from intense inflation." Additionally, for 3Q24 the company expected currency to be a -4% headwind to revenues and -8% headwind to EPS.

Since the company reported results, the USD has softened with the DXY U.S. Dollar Index lower by about -3.3% since July 22 (trading day prior to earnings). Our currency model suggests that FX has eased by around 100 bps for 4Q24 relative to when KO reported results, largely driven by appreciation in European and APAC currencies, partially offset by depreciation currency in LatAm region, although given KO's hedging the company may not see full benefit this year. We leave our 3Q24 estimated FX impact of -4.0% unchanged, which compares to CM -4.6%, and for 2024 we still model for a -

5.0% headwind (adjusted some of our segment estimates, although overall unchanged) relative to CM -5.2%.

Figure 6: Currency Model Shows USD Has Weakened Since KO's 2Q24



Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Coca-Cola (*Overweight; Price Target: \$78.00*)

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola is well positioned for sustainable organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2025 price target is \$78, based on 24x P/E (current premium to MNC peers applied to weighted average MNC peer CY25 multiples) on our 2026 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop should sustain KO's relative valuation premium and more than offset concern around GLP-1 and potential tax liability. Our \$78 price target implies ~9% upside in the next approximately 15 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) economic weakness leading to material pressure in the away-from-home channel; (2) the uncertainty around potential impact of GLP-1 drugs on demand longer term; (3) margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.

Coca-Cola: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY22A	FY23A	FY24E	FY25E	FY26E		1Q24A	2Q24A	3Q24E	4Q24E	
Revenue	43,046	45,784	46,230	48,217	50,589	Revenue	11,231A	12,313A	11,660	11,026	
COGS	(17,817)	(18,465)	(17,826)	(18,399)	(19,203)	COGS	(4,237)A	(4,749)A	(4,421)	(4,418)	
Gross profit	25,229	27,319	28,405	29,818	31,386	Gross profit	6,994A	7,564A	7,239	6,608	
SG&A	(12,884)	(13,983)	(14,427)	(14,922)	(15,499)	SG&A	(3,351)A	(3,527)A	(3,653)	(3,896)	
Adj. EBITDA	13,605	14,464	15,098	16,162	17,296	Adj. EBITDA	3,905A	4,306A	3,874	3,012	
D&A	(1,260)	(1,128)	(1,121)	(1,266)	(1,409)	D&A	(262)A	(269)A	(289)	(301)	
Adj. EBIT	12,345	13,336	13,977	14,896	15,887	Adj. EBIT	3,643A	4,037A	3,586	2,712	
Net Interest	(457)	(645)	(596)	(1,133)	(1,056)	Net Interest	(142)A	(149)A	(137)	(168)	
Adj. PBT	13,377	14,403	15,225	15,899	17,139	Adj. PBT	3,861A	4,452A	4,019	2,893	
Tax	(2,545)	(2,737)	(2,893)	(3,022)	(3,257)	Tax	(734)A	(846)A	(764)	(550)	
Minority Interest	(29)	11	(7)	13	33	Minority Interest	(8)A	10A	4	(13)	
Adj. Net Income	10,803	11,677	12,325	12,891	13,915	Adj. Net Income	3,119A	3,616A	3,259	2,330	
Reported EPS	2.48	2.69	2.85	2.99	3.23	Reported EPS	0.72A	0.84A	0.75	0.54	
Adj. EPS	2.48	2.69	2.85	2.99	3.23	Adj. EPS	0.72A	0.84A	0.75	0.54	
DPS	1.75	1.83	1.95	2.05	2.17	DPS	0.02A	0.48A	0.48	0.97	
Payout ratio	70.5%	68.1%	68.5%	68.5%	67.2%	Payout ratio	3.2%A	57.7%A	64.0%	179.0%	
Shares outstanding	4,351	4,339	4,320	4,314	4,306	Shares outstanding	4,322A	4,319A	4,319	4,319	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Cash and cash equivalents	9,519	9,366	11,204	3,980	3,569	Gross margin	58.6%	59.7%	61.4%	61.8%	62.0%
Accounts receivable	3,487	3,410	3,434	3,730	4,048	EBITDA margin	31.6%	31.6%	32.7%	33.5%	34.2%
Inventories	4,233	4,424	4,185	4,414	4,662	EBIT margin	28.7%	29.1%	30.2%	30.9%	31.4%
Other current assets	5,352	9,532	8,116	8,287	8,473	Net profit margin	25.1%	25.5%	26.7%	26.7%	27.5%
Current assets	22,591	26,732	26,939	20,412	20,752	ROE	45.9%	46.7%	48.3%	53.5%	55.6%
PP&E	9,841	9,236	10,312	11,330	12,317	ROA	11.5%	12.3%	12.3%	12.8%	14.1%
LT investments	501	118	167	167	167	ROCE	15.7%	16.8%	16.5%	17.8%	19.7%
Other non current assets	59,830	61,617	65,928	65,928	65,928	SG&A/Sales	29.9%	30.5%	31.2%	30.9%	30.6%
Total assets	92,763	97,703	103,346	97,836	99,164	Net debt/equity	1.1	1.1	1.2	1.5	1.2
Short term borrowings	2,373	4,557	3,793	3,793	3,793	P/E (x)	28.9	26.7	25.2	24.0	22.2
Payables	15,749	15,485	20,872	21,761	22,724	P/BV (x)	13.0	12.0	12.4	13.4	11.5
Other short term liabilities	1,602	3,529	3,519	3,090	2,615	EV/EBITDA (x)	19.5	18.3	17.8	16.8	15.6
Current liabilities	19,724	23,571	28,184	28,644	29,132	Dividend Yield	2.4%	2.6%	2.7%	2.9%	3.0%
Long-term debt	36,377	35,547	42,085	38,085	35,085	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Other long term liabilities	10,836	11,105	6,443	6,443	6,443	Interest cover (x)	29.8	22.4	25.3	14.3	16.4
Total liabilities	66,937	70,223	76,712	73,172	70,660	Operating leverage	98.0%	126.2%	493.4%	152.9%	135.3%
Shareholders' equity	24,105	25,941	25,076	23,106	26,946	Revenue y/y Growth	11.4%	6.4%	1.0%	4.3%	4.9%
Minority interests	1,721	1,539	1,558	1,558	1,558	EBITDA y/y Growth	8.3%	6.3%	4.4%	7.0%	7.0%
Total liabilities & equity	92,763	97,703	103,346	97,836	99,164	Tax rate	19.0%	19.0%	19.0%	19.0%	19.0%
BVPS	5.54	5.98	5.81	5.36	6.26	Adj. Net Income y/y Growth	7.1%	8.1%	5.5%	4.6%	7.9%
y/y Growth	4.5%	7.9%	(2.9%)	(7.7%)	16.8%	EPS y/y Growth	6.8%	8.4%	6.0%	4.7%	8.1%
Net debt/(cash)	28,587	29,701	32,922	36,146	33,557	DPS y/y Growth	4.8%	4.7%	6.6%	4.8%	6.0%
Cash flow from operating activities	11,018	11,599	11,369	8,621	15,060						
o/w Depreciation & amortization	1,260	1,128	1,121	1,266	1,409						
o/w Changes in working capital	(605)	(846)	(1,866)	194	211						
Cash flow from investing activities	(763)	(3,349)	(397)	(2,284)	(2,396)						
o/w Capital expenditure	(1,484)	(1,852)	(2,186)	(2,284)	(2,396)						
as % of sales	3.4%	4.0%	4.7%	4.7%	4.7%						
Cash flow from financing activities	(10,250)	(8,310)	(8,898)	(13,561)	(13,075)						
o/w Dividends paid	(7,616)	(7,952)	(8,439)	(8,835)	(9,349)						
o/w Net debt issued/(repaid)	(958)	1,857	6,098	(4,000)	(3,000)						
Net change in cash	(200)	(133)	1,717	(7,223)	(411)						
Adj. Free cash flow to firm	9,534	9,747	9,183	6,338	12,664						
y/y Growth	(15.3%)	2.2%	(5.8%)	(31.0%)	99.8%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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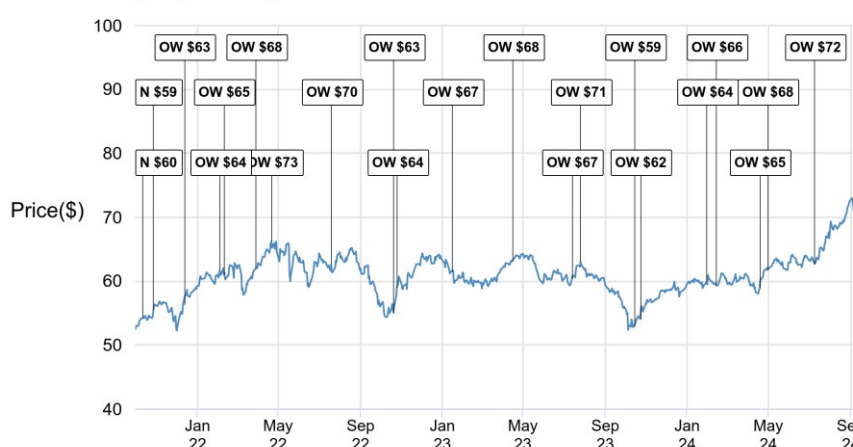
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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

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